AD-HOC OPINION · COMMUNICATION SERVICES

# Meta: buy the business, demand proof on the buildout

21 October 2026 · Syz Research · Results due after the US close today

Meta is not on the Syz focus list. We are **constructive on the long term** and **cautiously optimistic** into tonight's results, given the advertising momentum ahead of the print. The share's reaction, however, would depend less on the quarter than on whether management can make the 2027 AI investment bill look financeable and increasingly productive.

| Market cap | Q3 revenue consensus | Q2 free cash flow | Q2 operating margin |
|---|---|---|---|
| **USD 1,769 bn** | **USD 63.3 bn** | **USD 0.8 bn** | **31%** |
| as of 21 October 2026 | ads USD 61.9 bn, +23.5% y/y | after USD 31 bn of capex | vs. 43% a year earlier |

## 1. The quarter should hold up

Advertising momentum was solid going into Q3: in Q2, ad impressions rose 14% and the average price per ad 12%. AI is already improving ad ranking, engagement and conversion, which supports advertiser returns and pricing. A revenue figure at or above consensus would therefore not be a surprise.

Reported earnings per share will be distorted by a one-off charge of around USD 10 bn for the settlement with 52 US state attorneys general, which is not in the USD 165 to 169 bn full-year expense guidance. A weak EPS should not be read as an operating miss, provided management clearly separates the charge from the underlying cost trend.

## 2. Muse lifts sentiment, not yet earnings

Meta's AI assistant Muse has started fast: about 10.9 million downloads since its September launch and over 2.5 million daily users by mid-October, according to app-tracking data. What is missing is retention, the cost of serving each user and revenue per user. Direct monetisation looks like a 2027 story at the earliest, and the suspension of chat sharing after a data exposure shows that user trust is part of the equation.

## 3. The real debate: 2027 cash economics

Spending is now absorbing almost all of the cash the business generates. Beyond capex, Meta has signed about USD 279 bn of data-centre leases that have not yet started, around 2.1 times its trailing operating cash flow, with about USD 82 bn of non-cancellable payments due in 2027. Market expectations for 2027 capex sit around USD 186 to 195 bn, and any further step-up would land on the share.

In one sentence, the risk is that Meta builds a cost base the size of a cloud provider's before showing a revenue base to match, while advertising remains its only reported revenue engine.

## 4. Other risks

Regulation (youth safety rules, European publishers contesting new terms on the use of their content from 30 October), advertiser questions on marginal returns and lead quality, and competition from TikTok and connected TV for budgets.

### WHAT WOULD STRENGTHEN OUR VIEW

- Revenue at or above consensus, ad growth near 23.5%, and a firm Q4 outlook.
- 2027 capex and expense growth broadly in line with current expectations.
- Muse figures on retention and compute efficiency, plus early enterprise AI traction.

### WHAT WOULD CHANGE OUR VIEW

- A soft Q4 revenue outlook.
- 2027 capex signalled well above current expectations without matching revenue evidence.
- Muse discussed through downloads only, with no retention, cost or monetisation metrics.

### What this means for investors

Our long-term stance is constructive: advertising can fund the AI strategy for now. Ahead of a binary event, we would favour a small initial position rather than a full-size purchase, and add only if tonight's call shows AI turning into a return-on-investment story rather than a revenue story for chip suppliers and data-centre builders.

An investor already holding Meta does not need to add before the print. If the outlook disappoints on 2027 spending, a better entry point could come after the results.

Sources: Syz Research, Bloomberg (consensus and market data as of 21 October 2026); Meta Platforms Q2 2026 results and Form 10-Q; press reports (legal settlement, Muse usage, publishers). Lease-to-cash-flow ratio: Syz calculation.

## Important information

This communication has been issued and made available to recipients for the purpose of advertising investment services and/or financial instruments. It has been sent for information purposes and cannot be considered as an offer or a personalised recommendation to buy or sell a financial instrument or any other investment or currency. This communication does not constitute investment research within the meaning of regulatory rules applicable in the European Economic Area, or research under the rules of the U.S. Self-Regulatory Organizations.

This information is made solely for professional and institutional clients as defined by the Swiss Financial Services Act, as well as qualified investors according to the Swiss Collective Investment Schemes Act. It is not intended for retail clients or non-qualified investors and consequently cannot be transmitted to any third party.

This communication is not directed to any person in any jurisdiction where, by reason of that person's nationality, residence or otherwise, its dissemination or use is prohibited. It cannot be quoted, reproduced, disclosed, distributed or otherwise referred to, in whole or in part, to any third party without the Bank's prior written consent.

This communication may contain information on past performances of a financial product, all kinds of economic and financial valuations and analyses, as well as opinions of the Bank or of third parties. Any market valuations, terms and calculation methods, yields and opinions expressed are subject to change without notice. The information and opinions contained herein have been compiled and provided in good faith, based on information obtained from sources believed to be trustworthy. However, such information has not been independently verified. No guarantee, representation, or warranty of any kind, whether express or implied, is provided by the Bank or by relevant data vendors and other sources with respect to the accuracy, reliability, currentness or exhaustiveness of the information communicated, the methodology employed or the prices contained herein.

Past performance is not a reliable indicator of current or future results. Any reference to the past performance of an investment does not guarantee its future performance. Fluctuations in exchange rates may adversely affect the value, price or income of any investment.

Nothing in the present communication constitutes investment, legal, accounting or tax advice. This information is purely objective since it does not take into consideration the personal situation (including financial knowledge and experience), the investment objectives and risk profile of any recipient. Moreover, certain financial instruments mentioned (in particular, but not exclusively, derivatives, options and futures) involve a high risk of loss and may not be suitable. Accordingly, recipients should consult their own advisors on such matters, including but not limited to the possible tax consequences of investing in any financial product mentioned herein, and make their own assessment of the suitability of such investment product.

Should a recipient make an investment on the basis of the present communication, the recipient alone shall bear the consequences thereof. In no event shall the Bank, its directors, employees, affiliates or agents be held responsible for damages of any kind arising out of the use of all or part of the information provided herein.